IT Procurement & Vendor Management Procedures

SOP-PROC-002-v2.1

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Target Audience:	Procurement Teams, IT Leads, Vendors
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1. Multi-Currency & Treasury Normalization

1.1 Base Currency

All financial reports, dashboards, and procurement limits normalize to **HKD** (Hong Kong Dollar). This ensures consistent budget tracking, variance analysis, and executive reporting regardless of the original transaction currency.

1.2 Regional FX Lock-in

Procurement requests originating in foreign currencies (USD, RMB, MYR, IDR) lock in the spot FX rate at Purchase Order (PO) creation date. FX rates remain frozen across the PO lifecycle to prevent currency-induced budget creep.

Policy: Once a PO is created, the exchange rate is immutable. Any subsequent currency fluctuations do not affect the committed HKD value of the PO. Revaluation for accounting purposes is handled separately through treasury adjustment journals.

1.3 Illustrative Benchmark Rates

The following benchmark rates are used for system configuration, testing, and illustrative reporting. Actual PO lock-in rates are sourced from the Treasury-approved FX feed at the moment of PO creation.

Currency Pair	Benchmark Rate	Inverse (1 HKD)
1 USD	7.800000 HKD	0.128205 USD
1 RMB	1.200000 HKD	0.833333 RMB
1 MYR	1.750000 HKD	0.571429 MYR
1 IDR	0.000500 HKD	2,000.000 IDR

2. Multi-BU Cost Allocation Rules

Every Procurement Request (PR) must allocate financial liability across the 8 Business Units (BUs). This ensures accurate cost attribution, departmental budgeting, and cross-charge transparency.

2.1 Validation Rule

The aggregate percentage share across all BUs must satisfy the following constraint:

Sum of BU Allocation Share = 100.00%

PR submissions with totals not equal to 100% are automatically rejected at entry. The system performs real-time validation upon PR submission and prevents incomplete or erroneous allocations from proceeding.

System Behavior: If the sum is less than 100%, the PR is flagged as 'Incomplete Allocation' and returned to the requester. If the sum exceeds 100%, the PR is flagged as 'Over-Allocation' and blocked until corrected. Both conditions generate an alert to the requesting BU lead.

2.2 Allocation Requirements

- All 8 Business Units must be listed in the allocation matrix, even if the share is 0.00%.
- Allocations must be specified to two decimal places (e.g., 12.50%).
- Changes to allocation shares after PR approval require a formal amendment workflow.
- Month-end financial close reports aggregate PR allocations by BU for P&L; attribution.

3. Automated Three-Way Matching Engine

Financial variance verification automatically cross-references three source documents prior to payment disbursement:

Approved PO Amount = Vendor Invoice Amount = Milestone Delivery Sign-off

The three-way match ensures that the organization pays only for goods and services that were properly ordered, correctly invoiced, and satisfactorily delivered.

3.1 Discrepancy Tolerances

Variance Category	Tolerance	System Action
Core Price Variance	**0.0%** (Zero tolerance)	Auto-blocked; requires manual Finance override with documented justification.
Shipping & Tax Variance	**±2.0%** (Allowable margin)	Auto-approved if within tolerance; flagged for review if exceeded.

3.2 Action on Variance

Any invoice violating tolerance thresholds auto-escalates to **Blocked: Financial Variance Detected** and flags the Finance / Auditor role for investigation.

- The invoice is moved to a hold queue accessible only by Finance and Internal Audit.
- A variance report is auto-generated detailing the PO amount, invoice amount, and delivery sign-off value.
- The vendor is notified of the hold status via the vendor portal with a request for clarification or corrected invoice.
- Payment is suspended until the variance is resolved and re-approved through the three-way match.

Critical: Zero tolerance on core price variance means any unit price increase — even $0.01 — triggers a block. Finance must obtain written approval from the original PO authorizer before releasing the hold.

4. Vendor API & Onboarding Security

4.1 Access Credentials

External vendor portal access requires dedicated, hashed API keys issued jointly by the **Head of IT** and the **Finance team**. No vendor may access the procurement system using shared, generic, or self-generated credentials.

- API keys are generated using a cryptographically secure random function (minimum 256-bit entropy).
- Keys are hashed using SHA-256 before storage; plaintext keys are never retained.
- Each vendor receives exactly one active API key pair per integration endpoint.
- Key rotation is mandatory every 90 days; expired keys are revoked automatically.
- Revoked keys are logged in the security audit trail with timestamp and reason.

4.2 Regional Isolation

Vendor accounts are restricted via **Row Level Security (RLS)** to view only their regional records and assigned Purchase Orders (filtered by *region* + *vendor_id*).

- RLS policies are enforced at the database layer, not the application layer.
- A vendor from the APAC region cannot query, view, or export records belonging to EMEA or Americas regions.
- Vendor users see only POs where their *vendor_id* matches the PO's assigned vendor.
- Any attempt to access unauthorized records is logged as a security event and reported to the InfoSec team.

Security Note: RLS is the primary defense against data leakage between vendors. Application-level filtering is considered a secondary control and must not be relied upon as the sole access restriction mechanism.

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